

LEGISLATURE OF NEBRASKA
ONE HUNDRED NINTH LEGISLATURE
SECOND SESSION

LEGISLATIVE BILL 858

Introduced by Fredrickson, 20.

Read first time January 08, 2026

Committee:

- 1 A BILL FOR AN ACT relating to appropriations; to amend Laws 2025, LB261,
- 2 section 107; to appropriate funds to the Department of Health and
- 3 Human Services for community health centers; to state intent; to
- 4 repeal the original section; and to declare an emergency.
- 5 Be it enacted by the people of the State of Nebraska,

1 **Section 1.** Laws 2025, LB261, section 107, is amended to read:

2 Sec. 107. AGENCY NO. 25 – DEPARTMENT OF HEALTH AND HUMAN SERVICES

3 Program No. 502 - Public Health Aid

4		FY2025-26	FY2026-27
5	GENERAL FUND	7,083,060	7,083,060
6	<u>CASH FUND</u>	<u>9,339,000</u>	<u>10,230,000</u>
7	CASH FUND	9,339,000	9,730,000
8	<u>PROGRAM TOTAL</u>	<u>16,422,060</u>	<u>17,313,060</u>
9	PROGRAM TOTAL	16,422,060	16,813,060

10 There is included in the appropriation to this program for FY2025-26
11 \$7,083,060 General Funds and \$9,339,000 Cash Funds for state aid, which
12 shall only be used for such purpose. There is included in the
13 appropriation to this program for FY2026-27 \$7,083,060 General Funds and
14 \$10,230,000 ~~\$9,730,000~~ Cash Funds for state aid, which shall only be used
15 for such purpose.

16 There is included in the amount shown as aid for this program for
17 FY2025-26 \$2,100,000 General Funds and for FY2026-27 \$2,100,000 General
18 Funds for the seven community health centers funded through Federal
19 Program 330, Public Law 104-299, the federal Health Centers Consolidation
20 Act of 1996. Each of the following centers is to receive \$300,000:
21 Charles Drew Health Center, OneWorld Community Health Centers, East
22 Central District Health Department – Good Neighbor Community Health
23 Center, Community Action Partnership of Western Nebraska, Midtown Health
24 Center, Bluestem Health, and Heartland Health Center.

25 There is included in the amount shown as aid for this program for
26 FY2025-26 \$1,400,000 General Funds and for FY2026-27 \$1,400,000 General
27 Funds for the seven community health centers funded through Federal
28 Program 330, Public Law 104-299, the federal Health Centers Consolidation
29 Act of 1996 for dental services. Each of the following centers is to
30 receive \$200,000: Charles Drew Health Center, OneWorld Community Health
31 Centers, East Central District Health Department – Good Neighbor

1 Community Health Center, Community Action Partnership of Western
2 Nebraska, Midtown Health Center, Bluestem Health, and Heartland Health
3 Center.

4 There is included in the amount shown as aid for this program for
5 FY2025-26 \$325,000 General Funds and \$750,000 Cash Funds from the
6 Nebraska Health Care Cash Fund and for FY2026-27 \$325,000 General Funds
7 and \$750,000 Cash Funds from the Nebraska Health Care Cash Fund for the
8 seven community health centers funded through Federal Program 330, Public
9 Law 104-299, the federal Health Centers Consolidation Act of 1996. Each
10 center is to receive an amount to be distributed proportionally based on
11 the previous fiscal year's number of uninsured clients as reported on the
12 Uniform Data System Report provided to the United States Department of
13 Health and Human Services Bureau of Primary Health Care. The distribution
14 shall be made to Charles Drew Health Center, OneWorld Community Health
15 Centers, East Central District Health Department – Good Neighbor
16 Community Health Center, Community Action Partnership of Western Nebraska
17 Health Center, Midtown Health Center, Bluestem Health, and Heartland
18 Health Center.

19 There is included in the amount shown as aid for this program for
20 FY2026-27 \$500,000 Cash Funds from the Nebraska Health Care Cash Fund for
21 the seven community health centers funded through Federal Program 330,
22 Public Law 104-299, the federal Health Centers Consolidation Act of 1996.
23 Each center is to receive an amount to be distributed proportionally
24 based on the number of uninsured clients served in the previous fiscal
25 year as reported on the Uniform Data System Report provided by the health
26 centers to the Bureau of Primary Health Care of the Health Resources and
27 Services Administration of the United States Department of Health and
28 Human Services. The distribution shall be made to Charles Drew Health
29 Center, OneWorld Community Health Centers, East Central District Health
30 Department–Good Neighbor Community Health Center, Community Action
31 Partnership of Western Nebraska Health Center, Midtown Health Center,

1 Bluestem Health, and Heartland Health Center. The community health
2 centers shall use the amount distributed for expanded health care access
3 through the community health centers, including, but not limited to,
4 expanding existing lines of service such as behavioral health or dental
5 services, adding new lines of service, adding new service locations,
6 purchasing equipment, or completing capital projects. It is the intent of
7 the Legislature to increase the transfer from the Nebraska Tobacco
8 Settlement Trust Fund to the Nebraska Health Care Cash Fund by \$500,000
9 for FY2026-27 and annually thereafter for the increased aid funding for
10 the federally qualified health centers.

11 There is included in the amount shown as aid for this program for
12 FY2025-26 \$300,000 General Funds and for FY2026-27 \$300,000 General Funds
13 to provide funds to tribally owned, urban-based, federally qualified
14 health centers designated under the federal Indian Self-Determination and
15 Education Assistance Act, Public Law 93-638, as such act existed on
16 January 1, 2025.

17 There is included in the amount shown as aid for this program for
18 FY2026-27 \$500,000 Cash Funds from the Nebraska Health Care Cash Fund for
19 aid to Midtown Health Center to fund expanded health care access through
20 the community health center, including, but not limited to, expanding
21 existing lines of service such as behavioral health or dental services,
22 adding new lines of service and locations, purchasing equipment, or
23 completing capital projects.

24 There is included in the amount shown as aid for this program for
25 FY2025-26 \$2,898,246 General Funds and \$5,605,000 Cash Funds from the
26 Nebraska Health Care Cash Fund for public health departments. There is
27 included in the amount shown as aid for this program for FY2026-27
28 \$2,898,246 General Funds and \$5,605,000 Cash Funds from the Nebraska
29 Health Care Cash Fund for public health departments. There is included in
30 the amount shown in this section for FY2025-26 \$2,898,246 General Funds
31 and for FY2026-27 \$2,898,246 General Funds to be distributed equally

1 among the eighteen public health departments. There is included in the
2 amount shown in this section for FY2025-26 \$5,405,000 Cash Funds and for
3 FY2026-27 \$5,405,000 Cash Funds to be distributed among the eighteen
4 public health departments pursuant to section 71-1628.08. There is
5 included in the amount shown in this section for FY2025-26 \$200,000 Cash
6 Funds and for FY2026-27 \$200,000 Cash Funds to be distributed equally
7 among the eighteen public health departments.

8 There is included in the amount shown as aid for this program for
9 FY2025-26 \$31,713 General Funds and \$1,526,000 Cash Funds from the
10 Nebraska Health Care Cash Fund for minority public health services in
11 counties having a minority population equal to or exceeding five percent
12 of the total population of the county in the first and third
13 congressional districts as determined by the most recent federal
14 decennial census. There is included in the amount shown as aid for this
15 program for FY2026-27 \$31,713 General Funds and \$1,526,000 Cash Funds
16 from the Nebraska Health Care Cash Fund for minority public health
17 services in counties having a minority population equal to or exceeding
18 five percent of the total population of the county in the first and third
19 congressional districts as determined by the most recent federal
20 decennial census. The Department of Health and Human Services shall
21 distribute the funds on a per capita basis for the purpose of
22 implementing a minority health initiative which may target, but shall not
23 be limited to, infant mortality, cardiovascular disease, obesity,
24 diabetes, and asthma.

25 There is included in the amount shown as aid for this program for
26 FY2025-26 \$28,101 General Funds and \$1,349,000 Cash Funds from the
27 Nebraska Health Care Cash Fund to be distributed equally to the community
28 health centers in the second congressional district funded through
29 Federal Program 330, Public Law 104-299, the federal Health Centers
30 Consolidation Act of 1996. Such funds shall be used for the purpose of
31 implementing a minority health initiative which may target, but shall not

1 be limited to, infant mortality, cardiovascular disease, obesity,
2 diabetes, and asthma. There is included in the amount shown as aid for
3 this program for FY2026-27 \$28,101 General Funds and \$1,349,000 Cash
4 Funds from the Nebraska Health Care Cash Fund to be distributed equally
5 to the community health centers in the second congressional district
6 funded through Federal Program 330, Public Law 104-299, the federal
7 Health Centers Consolidation Act of 1996. Such funds shall be used for
8 the purpose of implementing a minority health initiative which may
9 target, but shall not be limited to, infant mortality, cardiovascular
10 disease, obesity, diabetes, and asthma.

11 **Sec. 2.** Original Laws 2025, LB261, section 107, is repealed.

12 **Sec. 3.** Since an emergency exists, this act takes effect when
13 passed and approved according to law.